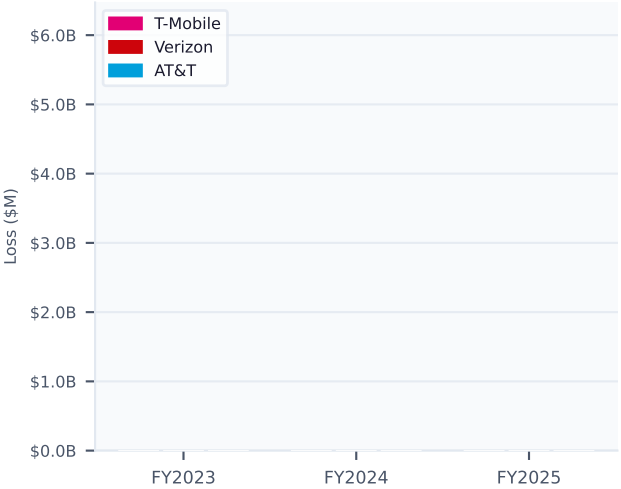


but by converting each dollar of equipment loss into 4–6x more net subscribers than Verizon.

Metric	T-Mobile	Verizon	AT&T	SIGINT Take
Equipment Gross Loss (FY2025)	5.3B(▲0.9B YoY)	3.5B(▲0.6B YoY)	~4.0B(▲0.8B YoY) ¹	All 3 escalated in 2025. TMUS absolute leader.
Equipment Loss as % of Service Revenue	7.4%	4.2%	~5.9% ¹	TMUS subsidizes most intensely relative to svc rev.
Postpaid Phone Net Adds (FY2025)	3,294K (#1)	362K (#3)	1,551K (#2)	TMUS adds 9.1x more subs than VZ per \$1B spent.
Subsidy Cost per Net Phone Add	\$1,611 (BEST)	\$9,685 (WORST)	~\$2,580 (MID)	VZ spends 6x more per net add — primarily on upgrades.
Service EBITDA Margin ² (FY2025)	55.0%	63.9% (BEST)	51.3%	VZ has best underlying svc economics despite large sub base.
Net Leverage (Net Debt / EBITDA)	2.38x (BEST)	2.78x (WORST)	2.46x	TMUS cleanest balance sheet; VZ stretched post-Frontier.
Adj. Free Cash Flow (FY2025)	\$18.0B (▲ 32% since FY23)	\$20.1B (steady)	~\$19.4B (▼ 5% from FY23)	TMUS FCF trajectory is strongest in the group.
Postpaid Phone Churn (FY2025)	0.93%	0.92%	0.90% (BEST)	AT&T wins retention — subsidy is keeping them sticky.

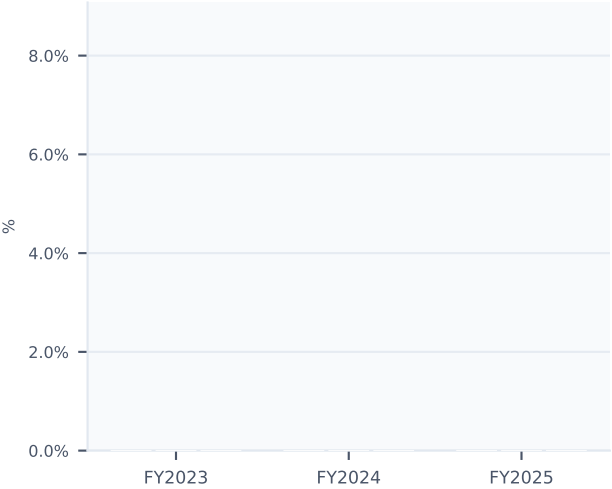
¹ AT&T does not separately disclose cost of equipment in 10-K; estimated at ~15% gross loss on equipment revenue, consistent with industry peers.
² Service EBITDA Margin = (Adj. EBITDA + Equipment Gross Loss) / Wireless Service Revenue — reflects true profitability of service operations before device economics.

Equipment Gross Loss (\$M)

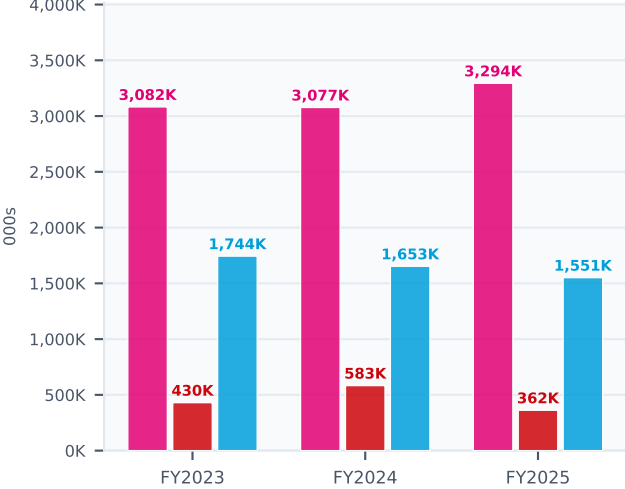


= Cost of Equipment – Equipment Revenue (net device subsidy)

Equipment Loss as % of Service Revenue

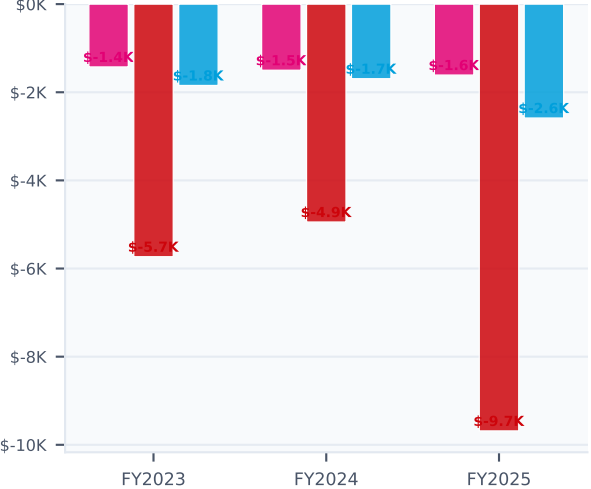


Postpaid Phone Net Adds (000s)



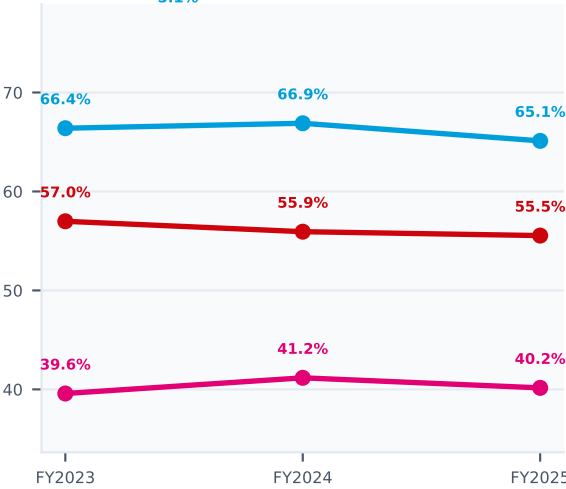
VZ: Consumer + Business combined

Device Subsidy Cost per Net Phone Add



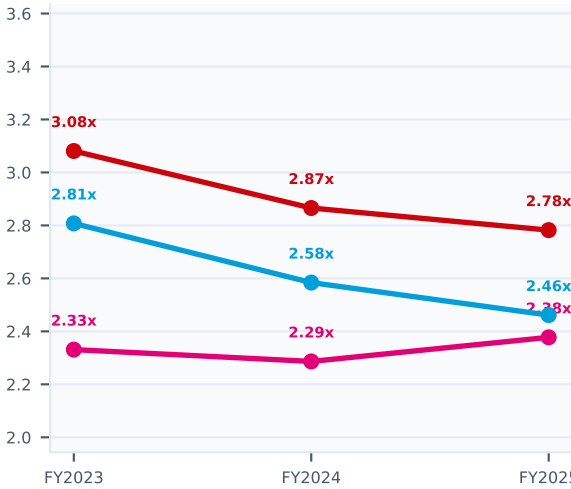
Lower = more efficient subscriber acquisition

Service EBITDA Margin (%)



(Adj. EBITDA + Equip Loss) / Wireless Svc Rev

Net Leverage (Net Debt / EBITDA)



Lower = stronger balance sheet

2025 Equipment Loss
\$5.3B

TMUS — highest absolute

Best Subsidy Efficiency
\$1,611/add

T-Mobile wins decisively

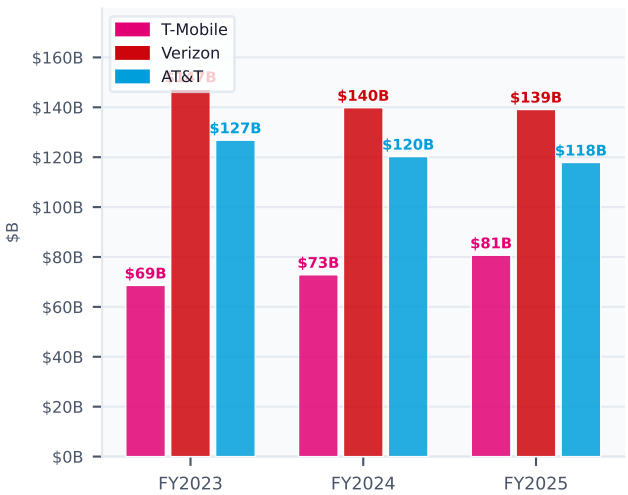
Best Service Margin
63.9%

Verizon — premium economics

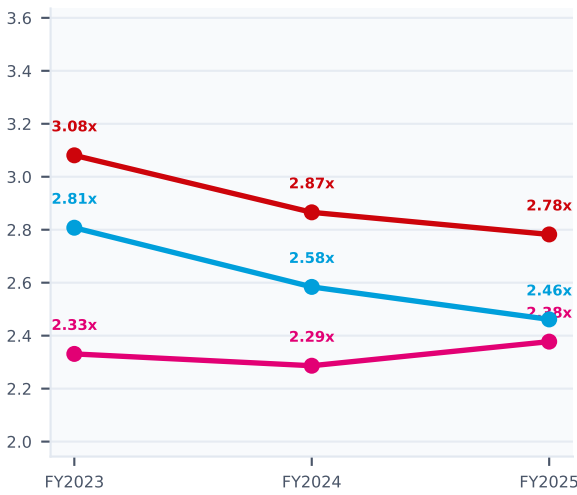
Cleanest Balance Sheet
2.38x

T-Mobile leads on leverage

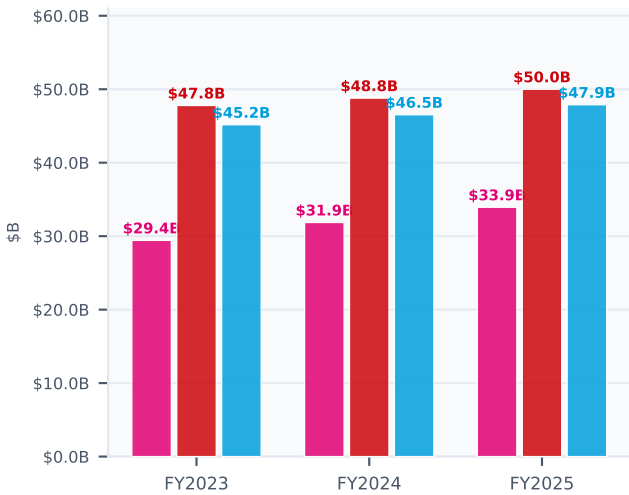
Net Debt (\$B)



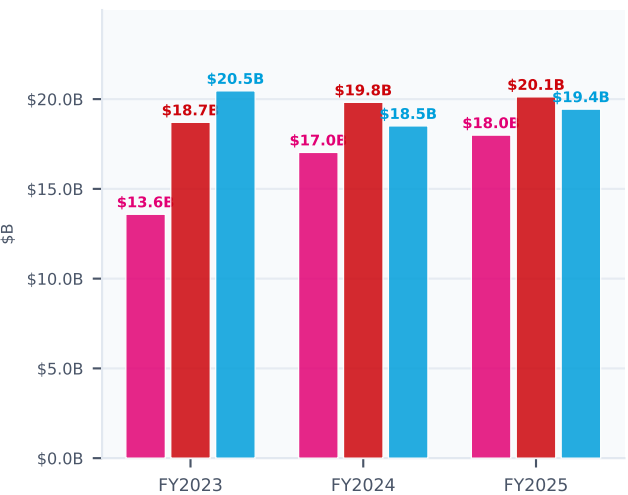
Net Leverage (Net Debt / EBITDA)



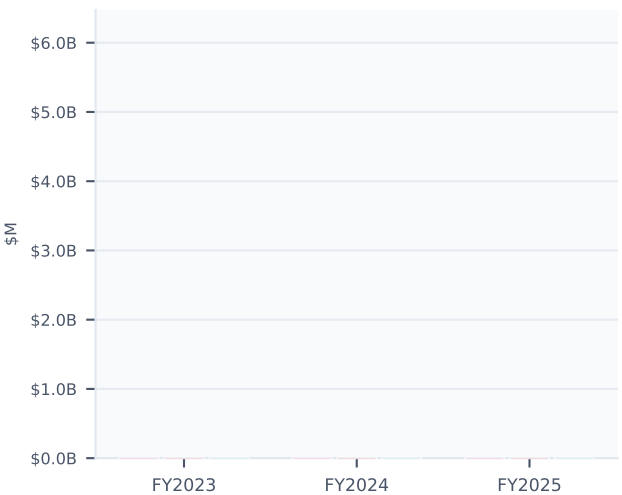
Adjusted EBITDA (\$B)



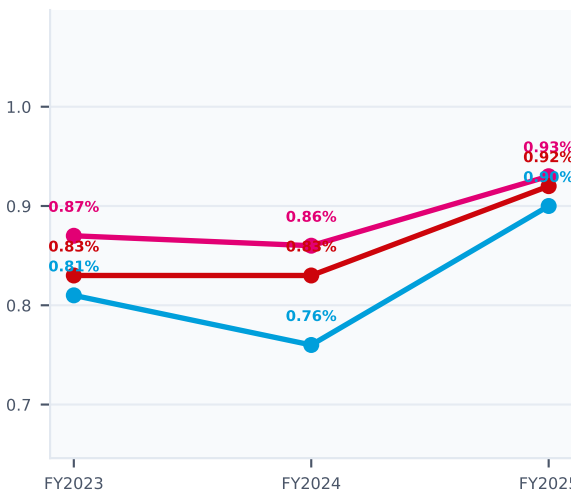
Free Cash Flow (\$B)



Equipment Gross Loss vs FCF (\$M)



Postpaid Phone Churn (%)



TMUS: Adj FCF | VZ: Reported FCF | AT&T: OCF – CapEx

Subsidy as % of FCF: TMUS 29% | VZ 17% | AT&T ~21%

Churn = cost of failed retention / re-acquisition

SIGINT BALANCE SHEET RANKING — Who Can Sustain More Subsidy?

#1 T-MOBILE (TMUS) · 2.38x leverage · 18.0B FCF · Equip loss = 29% of FCF · Best headroom to escalate promotions without rating impact

#2 AT&T (T) · 2.46x leverage · 19.4B FCF · Equip loss = ~21% of FCF · Steady improvement; FirstNet windfall + fiber build moderates risk · Large pension liabilities remain the hidden constraint

#3 VERIZON (VZ) · 2.78x leverage · 20.1B FCF · Equip loss = 17% of FCF · Frontier acquisition (28.5B) stretched balance sheet · Strongest FCF but least room to further escalate subsidy spend without credit pressure

THE VERGE ROUNDTABLE — "WHO'S REALLY WINNING THE DEVICE SUBSIDY WAR?"

Published April 2026 | The Verge Technology & Business Desk

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ANALYST 2 Diana Rhys — Managing Director, TMT Research, Goldman Sachs ("VZ/Quality Bull")

PART I — SETTING THE STAGE

ALEX: Let's start with the basics. Every carrier is dangling a free phone at you right now. Samsung Galaxy S25, iPhone 16 — carriers are practically giving them away. I want to know who is actually winning this spending contest, and who is writing checks they can't cash. Marcus, you cover T-Mobile. Make the case.

MARCUS: I'll make it simple. In 2025, T-Mobile's equipment gross loss — the real, net cost of subsidizing devices after recovering what customers pay — was \$5.3 billion. That sounds like a lot of money. It is a lot of money. But for that \$5.3 billion, they acquired 3.3 million net new postpaid phone subscribers. The math is \$1,611 per net new phone customer. Now ask Diana what Verizon paid per net add.

DIANA: I'll answer that because the framing is wrong. Verizon's net phone additions were 362,000 in 2025, and their equipment loss was 3.5**billion**—*which your math calls* 9,685 per add. But that is an entirely misleading number. Verizon's device subsidy is not primarily an acquisition weapon. Eighty percent of that spend is targeted upgrade offers for existing postpaid accounts — customers already paying \$147 per month in ARPA. Verizon is protecting the most lucrative customer base in U.S. wireless. You don't measure retention spend by new customer count.

MARCUS: Diana, with respect, that distinction has been the Verizon investor talking point for five years. Meanwhile, T-Mobile grew postpaid phone subscribers from 71 million to 78 million between 2022 and 2025 — largely at Verizon's expense. Those are real people who switched. That's real ARPU walking out the door.

PART II — THE BALANCE SHEET QUESTION

ALEX: Neither of you has said much about AT&T. They added 1.55 million postpaid phone customers in 2025 — far more than Verizon — while running the tightest churn in the group at 0.90%. What is AT&T doing right that doesn't get enough credit?

DIANA: AT&T is running the most operationally disciplined subsidy program of the three. Their estimated equipment gross loss is in the \$4 billion range — similar in absolute terms to T-Mobile, but AT&T is converting that into 1.55 million adds while simultaneously improving their service EBITDA margin to 51%. And critically: their postpaid phone churn was the best of the three heading into 2025. What AT&T figured out — and T-Mobile has not yet fully absorbed — is that subsidy and churn management are not separate tactics. You use device promotions to lock in subscribers on multi-year device payment plans. The phone becomes the retention instrument.

MARCUS: I agree AT&T deserves credit for execution. But their gross adds trajectory is declining — 1.55 million in 2025 versus 1.74 million in 2023. That is a company managing a plateau, not accelerating. And their net debt moved from \$126 billion to \$117 billion over the period — improvement, yes, but they still carry the most constrained balance sheet of the three relative to their EBITDA base when you factor in pension obligations and DIRECTV-related contingencies.

ALEX: If you had to rank the three on "subsidy efficiency" — who is getting the most strategic value per dollar of equipment loss — how would you each rank them?

MARCUS: T-Mobile first, AT&T second, Verizon third. T-Mobile is converting subsidy directly into market share. Every new subscriber generates 30 years of NPV at \$50 ARPU and rising. AT&T is running a solid second. Verizon is spending the most on a per-outcome basis and calling it "premium retention." That strategy works until it stops working — and it has been delivering diminishing returns for six quarters.

DIANA: My ranking: Verizon first, T-Mobile second, AT&T third — but the question is wrong. "Efficiency" depends entirely on what you're optimizing. If your goal is market share at any cost, T-Mobile wins. If your goal is long-term service revenue per customer, Verizon wins. You can't judge a chess player's strategy move by move — you have to see the endgame. Verizon's endgame is a converged, premium subscriber